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# This Month in Geopolitics: September 2026

Key events, themes and trends to watch in the month ahead

September 2026

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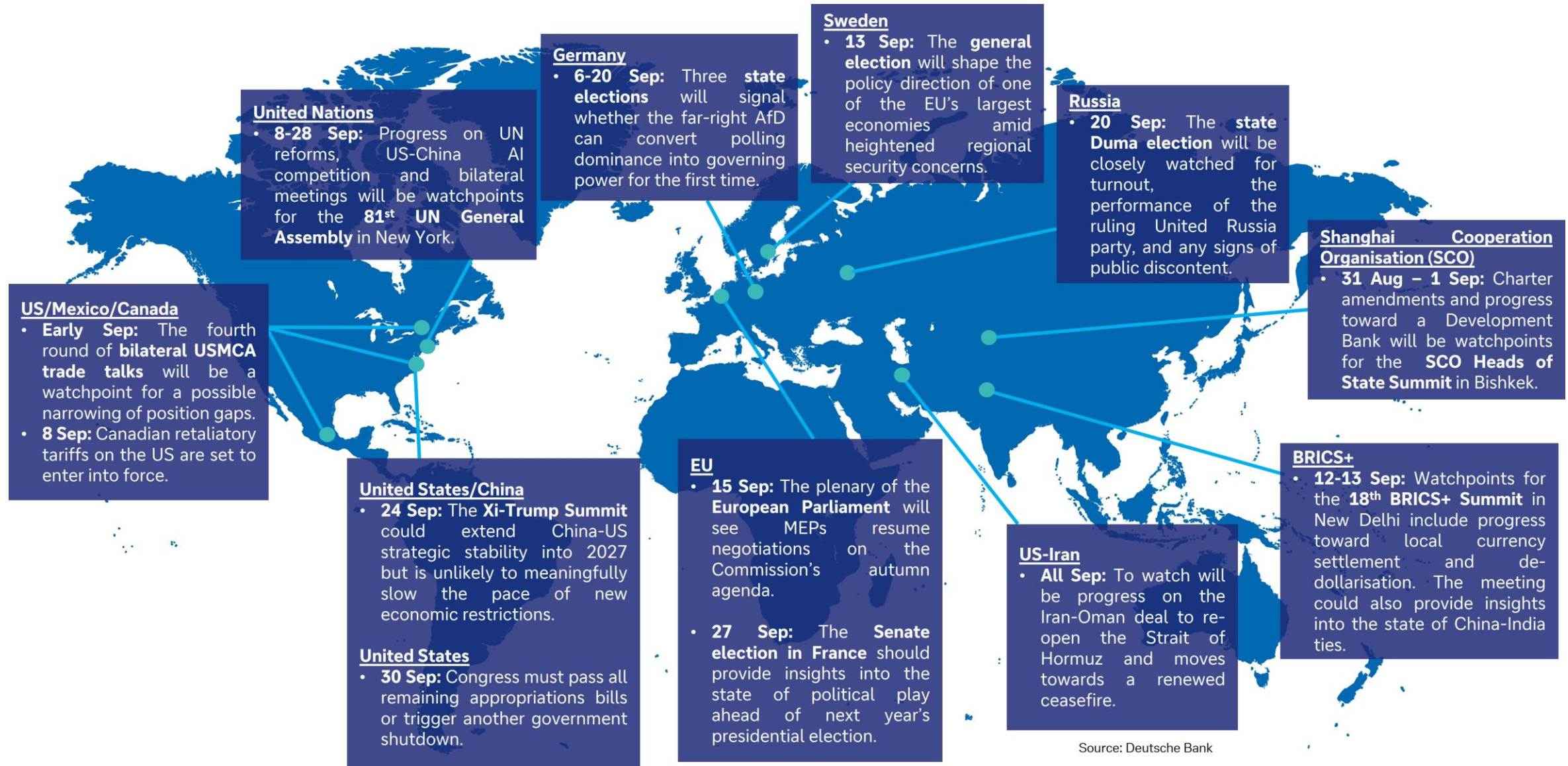
IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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# At a Glance: Geopolitical events to watch in September 2026

Our monthly Look-Ahead covers a *non-exhaustive* list of key events, issues and themes to watch in the month ahead. The below map intends to serve as an executive summary, providing a list of the issues at a glance. These are covered in more detail in subsequent slides.



# In the spotlight for September 2026: US-Iran war and China-US Summit



## US-Iran war (all of September)

August brought a mix of escalation and small progress in the conflict: US strikes on Iranian oil infrastructure and an ongoing blockade pushed fuel shortages inside Iran as President Trump ramped up economic pressure. Iran and Oman outlined a proposal for a temporary shipping corridor through the Strait of Hormuz, with talks ongoing toward a permanent arrangement.

**It appears both the US and Iran are waiting for the other side to blink though a new framework agreement isn't beyond the realm of possibility** as backchanneling continues. Economic pressure on Iran is ramping up with President Trump's "economic D Day" threat and fuel shortages within Iran adding to the regime's challenges. Political pressure on the Trump administration is likely to ramp up moving closer to the mid-terms. To watch will be whether the Iran-Oman shipping corridor talks move from proposal to an actual operating channel, which could signal a genuine de-escalation amid a war that seems to keep grinding on with no military victory able to drive resolution. In addition, the US' latest round of sanctions targeting networks moving Iranian oil through China, Hong Kong and the UAE, will be a point of friction at the Trump-Xi summit. We should prepare for more volatility in the coming months as neither side is prepared to lose face.

## Trump-Xi Summit (24 September)

**The summit could extend China-US strategic stability into 2027 but is unlikely to meaningfully slow the pace of new economic restrictions.** During the run-up to the summit, investors should watch for any sign of progress in three areas: the Board of Trade to support non-sensitive commerce, AI dialogue and a possible extension of the Busan agreement beyond November. The meeting could also deliver new purchase commitments. **While relations remain stable, there is little evidence to indicate a major breakthrough.** [Recent reporting](#) suggests stalled progress in some areas, such as on a new Board of Investment, in line with our [assessment](#) that national security concerns will limit progress in this area.

Investors should also be prepared for both sides to unveil new restrictions or retaliatory measures ahead of the summit, as Beijing and Washington work to strengthen their negotiating positions. US economic curbs against [Iran's](#) economic partners will be a watchpoint. New restrictions would add to a growing list of measures adopted this year (see table), which will likely expand further in the coming years. There is little prospect that the September summit can resolve structural competition in areas such as critical minerals, semiconductors or AI.

## Beyond summitry: China-US relations remain competitive in 2026

|           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|-----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| January   | Washington approved <b>limited Nvidia H200 chip sales to China</b> , signaling a more transactional approach to tech controls.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| February  | The US launched a <b>major critical minerals effort</b> , including new bilateral frameworks, financing tools and a 56-country coalition, aimed at reducing dependence on China.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| April/May | <b>China codified new anti-derisking regulations</b> , which allow Beijing to penalize companies that cut Chinese suppliers or comply with foreign sanctions/export controls. China separately ordered the unwinding of the <b>Meta-Manus AI</b> deal, signaling scrutiny of US investments in sensitive China-linked tech firms.<br><br><b>New US Congressional bills</b> , such as the MATCH Act, seek to tighten semiconductor equipment controls, close loopholes and pressure allies to align with US restrictions. <b>US sanctions on Chinese refiners</b> tied to Iranian crude triggered China's first formal use of blocking measures.                                                                                                                        |
| June      | The Pentagon included several major Chinese tech companies on its <b>Chinese Military Companies</b> list. In response, China introduced <b>export controls</b> on 10 US companies, and restricted procurement from another 46 corporates. The US banned China-linked <b>Polestar</b> from selling cars in the US from model year 2027 onward due to national security concerns.                                                                                                                                                                                                                                                                                                                                                                                        |
| July      | <b>China's new outbound investment regime</b> covers the overseas deployment of Chinese technology, data, talent and capital, especially in AI, chips, batteries, EVs and solar.<br><br>The <b>US imposed tariffs under a Section 301 forced labour investigation</b> on over 60 markets, including China (12.5%). Washington also banned the import of new <b>Chinese humanoid and quadruped robots</b> and power inverters.                                                                                                                                                                                                                                                                                                                                          |
| August    | The US announced tariffs of up to 100% on imported <b>drones and components</b> , primarily impacting Chinese exporters. A White House <b>report alleged the transshipment</b> of China-linked goods into the US through more than 40 countries. The US also added a record 43 Chinese companies to the <b>UFLPA Entity List</b> ; China retaliated by <b>imposing countermeasures</b> on 7 US compliance, audit and testing firms.<br>US sanctioned dozens of mainland and HK entities over Iran<br><br>China <b>tightened drone-related exports to the US</b> , potentially constraining access to critical minerals, rare earths, advanced electronics and other dual-use components. In late August, Beijing approved <b>limited sales of H200 chips</b> in China. |
| November  | The <b>2025 Busan agreement</b> is set to expire but will likely be extended, delaying the introduction of new bilateral economic restrictions.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| December  | The US Congress will adopt <b>annual must-pass defence legislation</b> , which frequently includes provisions aimed at China.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |

Note: The table provides a non-exhaustive list of selected key developments.  
Source: Deutsche Bank Research



# Key events, issues and themes to watch in September 2026

Listed in chronological order



## Shanghai Cooperation Organisation (SCO) Heads of State Summit (31 August – 1 September)

**Charter amendments and development bank progress will be key watchpoints.** The summit in Bishkek will bring together leaders from the SCO's 10 member states: China, Russia, India, Pakistan, Iran, Belarus, Kazakhstan, Kyrgyzstan, Tajikistan and Uzbekistan. Founded in 2001, the SCO aims to promote security and economic cooperation across Eurasia, but its practical impact has been limited given its relatively loose structure and member states' diverging geopolitical priorities.

However, the Bishkek summit could offer significant watchpoints, including amendments to the SCO's Charter and possible progress toward the establishment of an SCO Development Bank. The latter would give the SCO a dedicated mechanism to fund regional infrastructure. A dedicated development bank could also support local currency settlement – potentially boosting efforts by member states such as China and Russia to reduce their reliance on the US dollar.

## Next bilateral round of US-Mexico USMCA review talks (Early September)

**The fourth round of talks is unlikely to deliver a breakthrough but should show whether US-Mexico position gaps are narrowing.** 1 July marked the start of the US-Mexico-Canada (USMCA) trade deal's mandatory six-year joint review process whereby the three countries are required to assess whether to extend the agreement for another 16 years, review it or allow it to move into annual review mode. The US has declined to confirm the renewal of USMCA "in its current form".

We expect USMCA negotiations to remain difficult and protracted. In early September, the US and Mexico will hold further negotiations focused on resolving outstanding issues (e.g., automotive rules of origin, steel/aluminum, economic security, and issues around agriculture, labour, environment and alleged [China-linked transshipment](#)). Auto talks will be a key watchpoint. Washington is reportedly requesting 50% US-made content in North American vehicles, while Mexico's [counter-proposal](#) would exempt Canadian and Mexican parts and levy only non-North American content – potentially lowering US vehicle prices.



Source: Mike Dudin on [Unsplash](#)



# Key events, issues and themes to watch in **September 2026**

Listed in chronological order



German state elections: Saxony-Anhalt (6<sup>th</sup>), Mecklenburg-Vorpommern (20<sup>th</sup>) and Berlin (20<sup>th</sup>)

**The three state elections in September will close out Germany's 2026 "super election year"** and are together being read as a stress test of whether the far right AfD can convert polling dominance into governing power for the first time. In Saxony-Anhalt, the AfD is polling around 41%, well ahead of the Chancellor Merz's CDU's roughly 23-27%. The polling puts the AfD within reach of an absolute majority – a level of power no AfD branch has held in any German state. In Mecklenburg-Vorpommern, the AfD leads at 34-38% support, well ahead of the SPD (19-27%), which has led the state since the late 1990s. Berlin, by contrast, remains genuinely fragmented; the CDU sits around 19-22%, with the AfD, Greens, and Die Linke behind. These elections are seen as a test of the AfD's rise and whether that puts strain on Chancellor Merz's federal coalition.

Canadian retaliatory tariffs on the US (8 September)

**On 8 September, Canada will enact retaliatory tariffs matching US levies (15-50%) across roughly 700-900 tariff lines, roughly C\$27.6bn of US imports** (including steel, dairy, appliances, electronics, etc.). Aluminum duties will double to 50%. Despite Prime Minister Carney suggesting "we are at war," Ottawa says it remains open to a deal. But September could still see further escalation as both sides seek to gain leverage before renewed negotiations.

UN General Assembly's 81<sup>st</sup> Session (8-28 September)

**The event will bring together heads of state and government from more than 190 countries at a time of significant geopolitical volatility.** The session – officially opening on 8 September and followed by a General Debate during 22-28 September – will oversee the final stages of appointing the next UN Secretary-General. The 81<sup>st</sup> UNGA will be crucial for advancing the "Pact for the Future" (the political vision) and the UN80 initiative (the institutional delivery mechanism), the aim of which is to make the UN more efficient and "fit-for-purpose" by reviewing mandates, improving efficiency, and undertaking structural reforms. Within the reform agenda, the Global Digital Compact has become a flashpoint for US-China competition over AI governance. UNGA debates will be critical in shaping global norms for AI, pitting the US vision of open, values-based innovation against China's model of state-centric control. Numerous bilateral meetings between world leaders will take place alongside formal UN proceedings.



Source: Bernd Dittrich on [Unsplash](#)



# Key events, issues and themes to watch in September 2026

Listed in chronological order



## 18<sup>th</sup> BRICS+ Summit in India (12-13 September)

**Watchpoints include signs of a deepening China-India diplomatic thaw and BRICS+ progress toward local currency settlement.** India's official agenda includes cooperation and resilience, development finance, trade finance and global institutional reform. To watch will be whether President Xi's expected attendance – marking his first visit to India in seven years – signals an acceleration in the ongoing China-India diplomatic thaw.

The summit could also revive discussion of local-currency settlement, BRICS Pay (an initiative to facilitate cross-border payments in BRICS currencies) and the BRICS 'Unit', a prototype gold-backed settlement instrument. Nevertheless, progress toward cooperation on de-dollarisation will likely remain gradual given member states' diverging geopolitical priorities.

## Sweden's general election (13 September)

**The election will shape the policy direction of one of the EU's largest economies and a key NATO member amid heightened security concerns in the Baltic region.** The governing Moderate Party-led centre-right coalition, supported by the Sweden Democrats will compete against the opposition Social Democrats and their centre-left allies. The campaign is expected to focus on crime, immigration, cost of living, economic competitiveness, energy security and defence following Sweden's accession to NATO. The outcome will influence Sweden's approach to defence spending, support for Ukraine, migration, energy policy and industrial competitiveness, while providing an important indicator of broader political trends across Northern Europe.

## European Parliament plenary session (15 September)

**The first plenary after the summer recess is expected to be a key legislative session as MEPs resume negotiations on the Commission's autumn agenda.** Particular attention will focus on implementation of the European Defence Readiness 2030 agenda; follow up to the Competitiveness Compass, including measures to reduce regulatory burdens and strengthen the Single Market; and progress on the Economic Security Strategy, notably outbound investment screening and export controls for sensitive technologies. The Parliament is also expected to debate additional support for Ukraine, including use of frozen Russian assets, the next package of sanctions, and progress on Ukraine's EU accession.



Source: Frederic Köberl on [Unsplash](#)

# Key events, issues and themes to watch in September 2026

Listed in chronological order



## Russian state Duma elections (18-20 September)

**While the elections are not expected to be either free or competitive, they remain an important political event as the Kremlin seeks to reinforce domestic legitimacy.** The vote will be closely watched for turnout, the performance of the ruling United Russia party, and any signs of public discontent despite tight political controls. Internationally, the results will be scrutinized for indications of the regimes confidence and willingness to sustain military operations in Ukraine, while any voting in occupied Ukrainian territories is likely to draw strong international condemnation. While the results of the elections are a forgone conclusion for President Putin's United Russia party, Mr. Putin appears to be avoiding a possible mass mobilization announcement in light of battlefield losses in Ukraine until after the elections.

## France Senate election (27 September)

**The vote should provide insights into the state of political play ahead of next year's presidential election.** 178 out of the Senate's 348 seats will be contested in the indirect election to the Upper House of France's parliament. The electoral college mainly consists of local officials. While the election's outcome on state policy will likely be relatively limited, the outcome could provide signals ahead of the French presidential election in April 2027.

A key development to watch is whether the far-right National Rally Party can secure enough seats to form its first parliamentary group in the Senate. Marine Le Pen, the party's presidential candidate, continues to hold a significant lead in recent opinion polls.

## Key US government funding deadline (before 30 September)

**30 September marks the end of the US federal fiscal year, and it's the "hard" deadline by which Congress must pass all remaining appropriations bills or trigger another shutdown.** This is a real risk given that 2026 has already seen two shutdowns tied to disputes over immigration enforcement funding, including a record 76-day partial DHS shutdown.

Congress still has yet to reconcile FY2027 appropriations work before the fiscal year closes. It's also political loaded timing – landing right before the 3 November midterms. How Congress handles this deadline (smooth passage versus another standoff) could shape voter sentiment, especially on issues like immigration enforcement that have already driven this year's funding fights.



Source: Element5 Digital on [Unsplash](#)

# Appendix 1



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